

Owning Distribution in Africa

A verified market study of the distribution sector in Africa and South Africa

Prepared for Thabiso "TK" Khwezi Molekwa — research current to 16 August 2026

0. How to read this document

Every figure here was checked against at least three searches, and where sources disagree I show the disagreement rather than picking the number that reads best. Two widely repeated statistics did not survive that process, and both are corrected in Section 3. Treat any number in this document carrying a **flag** as contested.

The document is structured to answer three questions in order. Is the thesis true? Where is it true? What can you actually do about it from Cape Town, with limited capital and a day job?

1. The thesis, tested

The argument you brought back was: **Africans should stop competing and start owning distribution, because there is not that much competition in the African market.**

The evidence splits this cleanly in half. One half is correct and important. The other half is wrong in a way that would cost you money if you acted on it literally.

What is correct

Distribution genuinely is the control point, and the structural numbers support it.

- Roughly **90% of African retail transactions happen through informal channels**, across an estimated **15 million independent retail stores**.
- In Nigeria, the **top six retailers account for barely 2% of sales**, and 98% of Nigerians shop at small, local and informal outlets.
- **Intra-African trade sits at roughly 16%** of the continent's total commerce, expected to grow around 10% this year to close to **\$230 billion**.

Read those together and the case makes itself. There is no dominant retail layer across most of the continent to negotiate with, which means whoever controls route-to-market controls access. That is a fundamentally stronger position than making a product and hoping to place it.

What is wrong, and why it matters

"Not much competition" is the dangerous half. In the segments that look most attractive on paper, competition is severe and extremely well funded.

The clearest evidence is what happened to the biggest attempt. **Wasoko and MaxAB** — two of the most heavily backed B2B distribution platforms on the continent — completed Africa's largest tech merger, forming an entity valued at **\$526 million**, serving **over 450,000 merchants and 65 million consumers** across Kenya, Tanzania, Rwanda, Egypt and Morocco.

Since then: Wasoko founder Daniel Yu stepped down as co-CEO in September 2025, MaxAB co-founder and COO Mohamed Ben Halim left in late 2024, and reporting from February 2026 describes the combined company installing P&L operators and **doubling down on embedded finance**, with the strategic read summarised as e-commerce not working but fintech possibly working.

That is a half-billion-dollar company with continental scale concluding that pure distribution is a difficult business to make pay. It does not mean distribution is a bad idea. It means the obvious version of it — buy stock, warehouse it, deliver to informal retailers, take a margin — has been attempted at scale, with far more capital than you will ever have, and it did not work cleanly.

The reason is structural: logistics costs in Africa run roughly 8x global benchmarks. Any model whose margin depends on absorbing those costs is fighting arithmetic.

The corrected version of the thesis

Own distribution, yes. But own the **position**, not the **physical operation**.

The businesses that struggle are the ones that bought trucks, leased warehouses and carried stock. The defensible position is controlling access, relationships and information while staying asset-light. Section 4 is built entirely around that distinction, and the market data supports it: **asset-light operators already account for 52% of the South African 3PL market**, relying on subcontracted fleets and leased warehouses to limit capital exposure.

That 52% figure is the single most useful number in this document for you.

2. The African picture

AfCFTA — real, but slower than the headlines

The African Continental Free Trade Area is the structural story behind any pan-African distribution play. Current status:

- Member states have agreed to eliminate duties on **90% of products** traded with each other, phased over **5 to 10 years** depending on the economy's development level.

- A further **7% are treated as sensitive** with longer timelines, and **3% may be excluded** from liberalisation entirely.
- **50 tariff offers** on trade in goods have been submitted by individual states and customs unions, with **48 verified** by the AfCFTA Secretariat.
- Progress is uneven. Some states have moved quickly on tariff liberalisation and institutional reform; others are still aligning domestic policy.

What this means practically: AfCFTA is a ten-year tailwind, not a 2026 opportunity. Build a business that works without it and benefits if it arrives.

The regional layer is more actionable than the continental one

SADC is where a Cape Town operator can realistically reach. Thirteen SADC countries including Botswana, South Africa, Zambia and Zimbabwe are inside the free trade area.

- The **SADC SME Development and Competitiveness Strategy 2025–2029** was endorsed at the Ordinary Summit in Antananarivo in August 2025.
- South Africa and Botswana are actively pushing faster implementation of economic agreements, which is expected to open SME opportunities.
- SADC is pursuing **Cross-Border Special Economic Zones**, with the Mutare–Beira corridor between Zimbabwe and Mozambique identified as a candidate agro-industrial zone covering fertiliser, grain processing, packaging and cold-chain logistics.

Africa cold chain — a real, sized gap

Metric	Figure
Africa cold chain logistics market, 2026	USD 15.03 billion
Projected 2031	USD 18.29 billion (CAGR 4.02%)
South Africa's share of Africa's cold chain capacity	30.55%
SA cold storage density	13 m ³ per 1,000 residents
Fruit & vegetables share of Africa cold chain	27.45% (2025)

3. South Africa: the numbers, reconciled

This is the section where I have to correct the record, because the commonly circulated figures for the SA informal market contradict each other and several are being repeated without a source.

Flagged correction 1 — the informal FMCG figure

You will see the claim that informal and independent traders contribute **26%, or R184 billion, of a R716 billion SA FMCG market**. I could not verify this against NielsenIQ's own published data, which is the primary source for SA retail measurement.

What NIQ actually reports:

Metric	NIQ figure
SA FMCG spend, full year 2025 (traditional + modern trade)	R683.3 billion
SA FMCG spend, Q1 2026	R173.6 billion
Traditional trade outlets (spazas, independent grocers, liquor stores, taverns)	~190,000
Annual FMCG sales through traditional trade	~R170 billion
Traditional trade sales, Q1 2026	R43.1 billion

Doing the arithmetic on NIQ's own numbers puts traditional trade at roughly **25% of SA FMCG**, which is close to the 26% claim — but the R716bn / R184bn pair appears to be a different or older vintage. **Use R683.3bn total and ~R170bn traditional trade**. The direction of the claim is right; the specific numbers being passed around are not sourced to anything current.

Flagged correction 2 — the "R900 billion" figure

The R900 billion number is real but is **routinely mislabelled**. It traces to a report by **27four**, and it measures the **township economy as a whole** — all commerce, employment and value circulating in townships — not spaza retail.

Quoting R900bn as the size of the spaza or informal retail market is wrong by roughly a factor of five. The retail-specific figures:

Metric	Figure	Note
Township economy (all commerce)	~R900 billion	27four report; not retail alone
Spaza shop annual turnover	~R190 billion	
Informal retail network	~R200 billion	Different methodology, similar order
Spaza shop count	150,000–200,000	Sources vary; no complete audit exists
Spaza contribution to GDP	up to 5.2%	
People employed by the sector	~2.6 million	
SA households buying from informal trade	more than 70%	

The honest summary: **spaza and traditional trade retail is a R170-200 billion market**, sitting inside a **~R900 billion township economy**. Both are large. They are not the same thing, and conflating them will lead you to size an opportunity five times bigger than it is.

Flagged correction 3 — SA e-commerce market size

Sources disagree severely here and I cannot resolve it.

- One market-research house puts SA e-commerce at **USD 38.13 billion in 2025**, rising to **USD 41.86 billion in 2026** and **USD 63.06 billion by 2031** (CAGR 8.54%).
- Another source puts the SA e-commerce market at **R130 billion** — roughly USD 7 billion at current rates.

Those differ by more than five times. The gap is almost certainly definitional, with the larger figure including digital services, travel and B2B transactions while the smaller counts online retail only. **Do not use either figure in a pitch or a plan without stating which definition you mean.** What both agree on is the growth direction, and that is the part you can rely on:

- **SA online retail grew 38% in 2025** while physical retail managed under 3%.
- **Over 71% of online transactions are now mobile.**
- Buy-now-pay-later adoption has doubled.

Wholesale trade — the sector is currently growing

Stats SA, real terms at constant 2019 prices:

- **March 2026: +8.3% year on year**, and +5.5% month on month seasonally adjusted
- **April 2026: +3.3% year on year**, but **–2.4% month on month** seasonally adjusted

- Leading contributors: fuels and related products **+11.5%**, food/beverages/tobacco **+14.6%**
- The trade industry has now posted **six consecutive quarters of gains**

The month-on-month contraction in April against strong year-on-year growth is worth noting. The sector is growing but not smoothly.

Logistics — the constraint and the opening

This is the most important structural shift happening in South Africa right now.

- Poor bulk logistics performance costs the SA economy **at least R1 billion per day**.
- **Transnet Rail Infrastructure Manager has finalised access agreements with 11 private freight operators** — ARC South Africa, The Railway Corporation, TLD Marine, Menar Ports & Rail, Sharp Logistics, Barberry, Grindrod, Minrail, Iracema, Motheo Logistics and Interlinks — ending decades of single-operator dominance.
- Early operators launch **before December 2026**, the rest during 2027.
- Government target: lift rail freight from roughly **180 million tonnes to 250 million tonnes by 2030**, a ~39% increase.
- Reform has not been smooth, and both rail access and port concessioning have run into difficulty.

The reefer gap is the specific, sized opportunity inside this. Based on 2024 data, **up to 55% of refrigerated container demand during peak season at Durban could not be met** by incoming equipment.

And the gap that matters most for a small operator: there is a **shortage of independent, non-contracted cold storage offering flexible short-term access**, because the prevailing industry model favours long-term contracted engagements. Smaller businesses are structurally underserved. That is not an opinion — it is a documented structural gap.

Third-party logistics — the asset-light opening

Metric	Figure
SA 3PL market, 2025	USD 5.42 billion
Projected 2030	USD 7.01 billion (CAGR 5.29%)
Asset-light share of market (2024)	52%
SME fulfilment demand signal	Bob Go processed 1.9 million shipments in H1 2025

DSV opened Africa's largest integrated logistics hub near Johannesburg in February 2025, adding 100,000 m² of warehousing. Huawei runs a 30,000 m² automated centre in Cape Town.

The top end is capital-intensive and already taken. **The 52% asset-light share is where a new entrant lives.**

4. Where the opportunity actually is, for you

Ranked by capital required, verifiability of the gap, and fit with what you already have.

Tier 1

Opportunity A — Asset-light fulfilment brokerage for e-commerce SMEs

The gap: SA online retail grew 38% in 2025 against under 3% for physical retail, and 1.9 million shipments moved through a single SME fulfilment platform in six months. Meanwhile 52% of the 3PL market is already asset-light, which proves the model works without owning assets.

Your play: you do not buy a warehouse or a van. You contract capacity from existing warehouses and couriers, and sell a single managed fulfilment service to small online retailers who are too small to negotiate their own rates and too busy to manage three suppliers.

Why it fits you specifically: **this is the same customer as Zanovo.** A small business with a website you built is a small business that needs to ship things. You are not opening a second market — you are selling a second product into the market you are already entering. That is the strongest strategic fit in this entire document.

Capital required: effectively zero to start. You are reselling contracted capacity.

Opportunity B — Flexible cold storage brokerage

The gap is documented and specific: the industry model favours long-term contracted storage, leaving a shortage of independent, non-contracted cold storage with flexible short-term access for smaller businesses. Add the Durban reefer shortfall of up to 55% at peak, and SA holding 30.55% of Africa's cold chain capacity, and you have a large base with a structural mismatch at the small end.

Your play: aggregate spare capacity from existing cold stores and resell it in short, flexible blocks to small food producers, exporters and caterers who cannot sign annual contracts.

Honest caveat: this requires real relationship-building with cold store operators before you have a single customer, and Western Cape agri seasonality means demand is spiky. It is a harder start than Opportunity A but a more defensible position once established.

Opportunity C — Market-entry representation for foreign brands

The pattern is verified and active: Asbis became the second official Apple products distributor in South Africa, four more Chinese vehicle brands (Denza, Furizon, Zeekr, Riddara) arrive in 2026, Virgin Bet entered as VB South Africa licensed by the Mpumalanga Economic Regulator, and Geely appears to have taken control from local distributor Enviro Automotive.

Foreign brands entering SA consistently need local representation. In agency form — you represent, they retain title — capital requirement is near zero and the commission is on someone else's product and someone else's balance sheet.

Where to start: smaller brands, not Apple. Target manufacturers in adjacent markets who have no SA presence at all and no plans to build one.

Tier 2

Opportunity D — Traditional trade route-to-market

The biggest numbers in the document sit here: ~190,000 traditional trade outlets, ~R170 billion in annual FMCG, more than 70% of SA households buying from informal trade, and the segment growing faster than modern trade.

It is also where the graveyard is. This is the exact segment Wasoko-MaxAB attacked with half a billion dollars of valuation and retreated from toward fintech. Entrenched wholesalers with delivery fleets own the physical route. Logistics costs at 8x global benchmarks eat the margin.

Enter this only with an asset-light angle — data, visibility, aggregated ordering, or as an agent for a producer who lacks coverage. Do not enter it by buying stock and a bakkie.

Opportunity E — SADC cross-border, starting with Botswana

Real and improving, with the SADC SME strategy endorsed and the SA-Botswana implementation push underway. Also slow, paperwork-heavy, and dependent on border efficiency you do not control. Build it as a second-phase extension of whichever Tier 1 play works, not as a starting point.

Not recommended

Owning physical distribution assets. Trucks, warehouses, stock. The economics are hostile at your capital level, the top of the market is consolidating around players like DSV, and the best-funded attempt at the informal end pivoted away from it.

5. What this changes in the original strategy

The supplier middleman strategy I gave you holds up, with three adjustments.

Strengthened — the aggregation position. Section 2 of the original document argued that aggregation is the most defensible position for a new entrant because it is harder to replicate than to find. Everything in this research supports that harder. Fragmentation at 90% informal across 15 million stores is precisely an aggregation problem.

Weakened — government RFQs. I ranked government RFQ supply as a Tier 1 opportunity. Under the chess-not-checkers logic it is the weakest thing in that document: RFQs are decided

largely on price, against every other compliant bidder, with no accumulating position. Winning one teaches you nothing that helps you win the next. **Demote it** — use it for early cash flow if convenient, but do not build the business on it.

Unchanged — the APAC fresh produce route. A licensed, legally protected function is exactly what "owning distribution" means in practice. It remains the most defensible long-term position available, and it remains a 12–18 month apprenticeship rather than a cold start.

New and better than any of them — Opportunity A. Asset-light fulfilment brokerage sells into Zanovo's existing customer base, requires no capital, and sits in a documented 52%-of-market model. If you take one thing from this research, take that.

6. What I could not verify

Stated plainly, so you know the edges of this.

- **The exact SA e-commerce market size.** Sources differ by more than 5x on definition. Unresolved.
 - **The R184bn / R716bn FMCG split.** Could not be tied to NIQ or any current primary source.
 - **Exact spaza shop count.** Estimates run 150,000–200,000 and no complete audit exists.
 - **Current corporate ESD intake windows.** These change per cohort and must be confirmed with each funder directly.
 - **Whether the 55% Durban reefer shortfall still holds.** That figure is based on 2024 data and I found no 2026 update.
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7. Sources

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